



HMS – Financial Report, Pricing Models & Revenue Plan



Executive Summary

This document presents a professional breakdown of the **financial structure, pricing plans, and revenue models** for the Hotel Management System (HMS). It includes recurring costs, income strategies, deployment charges, legal obligations, and taxation estimates.



1. Capital & Operational Expenditure



A. One-Time Development Costs

Component	Estimated Cost (INR)
System Architecture & Design	₹50,000
Backend Development (Spring)	₹80,000
Desktop App (JavaFX)	₹60,000
Mobile App (React Native)	₹70,000
Website (JSP, CMS)	₹40,000
UI/UX Design (Figma)	₹25,000
Testing & QA	₹30,000
Total	₹3,55,000



B. Annual Operational Costs

Service	Cost (INR/year)
Cloud Hosting (VPS + DB)	₹10,000
SMS/Email Gateway	₹3,000
SSL Certificate	₹2,000

Domain Renewal	₹1,000
Support & Maintenance	₹20,000
Biometric/IoT License Support	₹5,000
Total	₹41,000/year

2. Pricing Models for Clients

A. SaaS-Based Subscription Plans

Plan	Monthly Price	Annual Price	Features Included
Basic	₹999	₹9,999	Booking, Checkout, Room Mgmt
Professional	₹2,499	₹24,999	Everything in Basic + Inventory, Billing, Housekeeping
Enterprise	₹4,999	₹49,999	All Modules + IoT Access + Staff App + Reports

- **Add-ons:**
 - QR Entry Integration: ₹2,500 one-time
 - Biometric Scanner Setup: ₹5,000/device

B. One-Time License Model (Self-hosted)

Tier	Price (INR)	Inclusions
Silver	₹40,000	Booking + Rooms only
Gold	₹80,000	Full System without IoT
Platinum	₹1,20,000	Full System + Smart Automation

3. Revenue Models

A. Direct Sales (License)

- Fixed payment from hotels (₹40k–₹1.2L)
- High-margin, no recurring dependency

B. SaaS Subscription

- Monthly recurring income
- Allows scalability with low entry barrier

C. Add-on Services

- Hardware integration
- Staff training (₹5,000/workshop)
- Custom reporting dashboards (₹10,000/module)

D. Commission Revenue (Optional)

- Partner with payment gateways or channel managers (e.g. AxisRooms) for commission per booking

4. Legal & Tax Considerations

A. Legal Expenses

Legal Service	Cost (INR)
Company Incorporation (Pvt Ltd)	₹7,000
Trademark Registration	₹4,500
Software License Drafting (EULA)	₹8,000
Privacy Policy & Terms Drafting	₹6,000
Total Legal	₹25,500

B. Taxation

Category	Rate	Notes
GST (on Software)	18%	Collected from clients
TDS (on Contracts)	10%	Deducted from freelancer pay
Corporate Tax (if Pvt Ltd)	25%	On annual profits

✦ **GST Registration Mandatory** if turnover > ₹20 Lakhs/year.

🔍 5. Financial Projections (Year 1–2)

📊 Assumptions:

- 10 clients in Year 1, 25 in Year 2
- 60% choose SaaS, 40% license

Year	Revenue (SaaS)	Revenue (License)	Total Income	Expense s	Net Profit
Y1	₹1,50,000	₹3,20,000	₹4,70,000	₹1,20,000	₹3,50,000
Y2	₹3,75,000	₹6,40,000	₹10,15,000	₹2,10,000	₹8,05,000

📎 Attachments (Optional)

- Pricing Brochure (PDF)
- Invoice Format
- SLA (Service Level Agreement)
- Terms of Use

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☑ **Must-Have (Keep within ₹20,000)**

These are **core modules** most hotels need:

Module	Reason to Keep
Login & Auth	Secure access, role-based control
Room Management	Manage rooms, statuses, types, pricing
Booking System	Booking form, availability logic
Checkout & Billing	Checkout process, final payment

Basic Reports	Minimal earnings & occupancy insights
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✅ Can be delivered in Spring Boot + JavaFX with PostgreSQL backend.

✗ Remove or Postpone (To Stay Under ₹20,000)

Module	Action	Notes
Mobile App	✗ Remove	Costly to build and test across platforms
JSP Website (CMS)	✗ Remove	Offer a static page or Google form for now
Inventory Management	✗ Remove	Not essential for very small hotels
Housekeeping Panel	✗ Remove	Can mark room dirty manually via Room UI
Staff Attendance System	✗ Remove	Biometric/manual logs not included
QR Code Smart Entry	✗ Remove	Postpaid add-on (₹2,500+)
IoT Room Control	✗ Remove	Needs device support & integration
Finance Module	✗ Remove	Include only basic billing + checkout
Feedback/Complaints	✅ Optional	Use Google Form link if needed
Reports (Advanced)	📄 Minimize	Only show simple room & revenue list
Multi-Hotel Support	✗ Remove	Not needed for single-property clients

🔗 What the Client Gets for ₹20,000

Feature	Included
Role-based Login (Admin/Manager)	✅
Add/Edit/Delete Rooms	✅
Book Room + Track Stay	✅
Checkout with Final Amount	✅
Room Status & Filtering	✅
Basic Dashboard/Home Page	✅

Minimal Reports (room usage)	✓
Local Java Desktop Application	✓



Optional Add-ons (Charge Separately)

Feature	Add-on Price
QR Access Control	₹2,500
Biometric Attendance	₹5,000/device
Mobile App (React Native)	₹15,000+
Public Website (JSP/CMS)	₹8,000+
Housekeeping Module	₹3,000
Smart Room Device Control	₹5,000– ₹10,000



Estimated Cost Breakdown (Basic Setup – ₹20,000)

Item	Estimated Value
Backend (Spring Boot + DB)	₹6,000
JavaFX UI (Booking, Checkout, Rooms)	₹9,000
Testing & Deployment	₹2,000
Support (1 month)	₹3,000

☑ What You Need to Buy/Setup to Start Building the HM

Item	Required For	Cost (Approx.)	Notes
 Laptop/PC (8GB+ RAM)	Development	₹35,000– ₹50,000	Must support IntelliJ, Android Studio
 2nd Monitor (optional)	Productivity	₹5,000	Helpful for UI testing/debugging
 Internet (Stable 50Mbps+)	All Development	₹700/mo nth	For coding, deployment, sync
 Software Tools	Development	Mostly Free	IntelliJ (Community), Postman, Git
 Testing Devices (Android)	Mobile App QA	₹10,000– ₹15,000	Needed if mobile app required
 Hosting (for staging/production)	Hosting backend/API	₹10,000/ year	Use VPS like DigitalOcean, Hostinger
 Domain Name	Website + API	₹1,000/y ear	Eg. hotelapp.in
 SSL Certificate	Secure API & web	₹1,000/y ear	Optional if using Let's Encrypt
 GitHub Pro (Optional)	Repo Management	₹0– ₹1,500/y ear	Optional, free for public repos
 Cloud Storage (Optional)	Image uploads	Pay-as- you-go	Firebase, AWS S3, etc.

💡 **Total Setup Cost (Initial)** = ₹12,000 to ₹18,000 (*excluding your computer*)

What the Client Needs to Buy for Setup & Ongoing Use

Item	Purpose	One-Time / Annual	Est. Cost
 One PC System (Windows/Linux)	To run JavaFX desktop	One-time	₹20,000– ₹30,000
 Desktop App Installer	HMS Desktop App	Provided by you	Free (after dev)
 Internet Connection	Sync with backend	Monthly	₹500/month
 Backend Hosting (API + DB)	Store bookings, login, etc.	Annual	₹10,000/year
 Domain + SSL	Secure client website (optional)	Annual	₹2,000/year
 Mobile Phone (Optional)	If staff app needed	One-time	₹10,000+
 Maintenance/Support Plan	Ongoing bug fixes, updates	Optional Monthly	₹1,000– ₹2,000/month

Summary – Required Investments

For You (Developer):

- ₹12,000–₹18,000/year infra (hosting, domain, tools)
- Dev machine (already owned)
- Mobile device for testing (if app included)

For Client (Hotel):

- ₹20,000–₹30,000 PC (if none exists)
- ₹10,000/year backend + domain
- Internet connection

Tips for Low-Cost Deployment Strategy

Strategy	Description
 Use free tier hosting (Render, Railway) for demos	
 Bundle backend + DB on same VPS to cut hosting cost	
 Use JavaFX only if budget tight – skip mobile/app	
 Upload media (ID photos, invoices) to local folder or Firebase free tier	
 Avoid third-party paid APIs unless mandatory (e.g. OCR, QR)	